

Summit State Brewing Feasibility Study



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Case Introduction



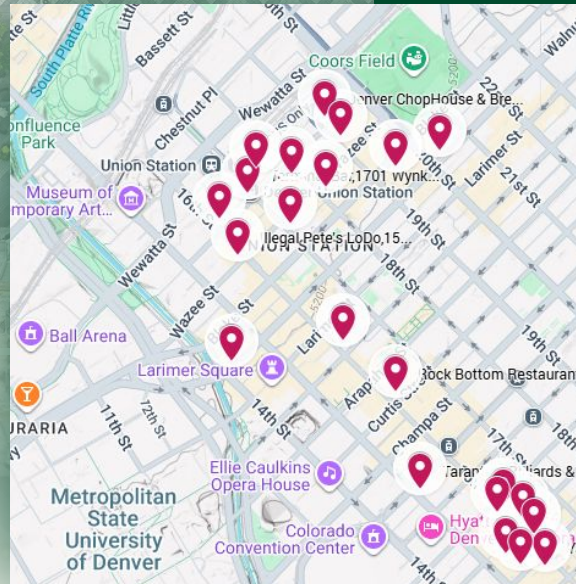
BACKGROUND

- Summit State Brewing is considering opening a new microbrewery
- Colorado Consultants was hired to provide a detailed feasibility analysis
- Concerns and implications of opening a microbrewery

Location

Denver, CO - 16th St. Mall

- High foot traffic
- Highly competitive
- Surrounded by Downtown and sports arenas



Summit State Brewing Owner's Goals

■ Sustainable Competitive Advantage

How will the microbrewery gain and maintain a competitive advantage in a fiercely contested saturated market?

■ ROI Greater than 25%

Higher than average due to the competition concerns.

■ Break Even Within First Year

Owner needs the brewery, unsupported by the restaurant, profitable within a year.

The Marketing Methodology

PESTEL Analysis

Cycle 1

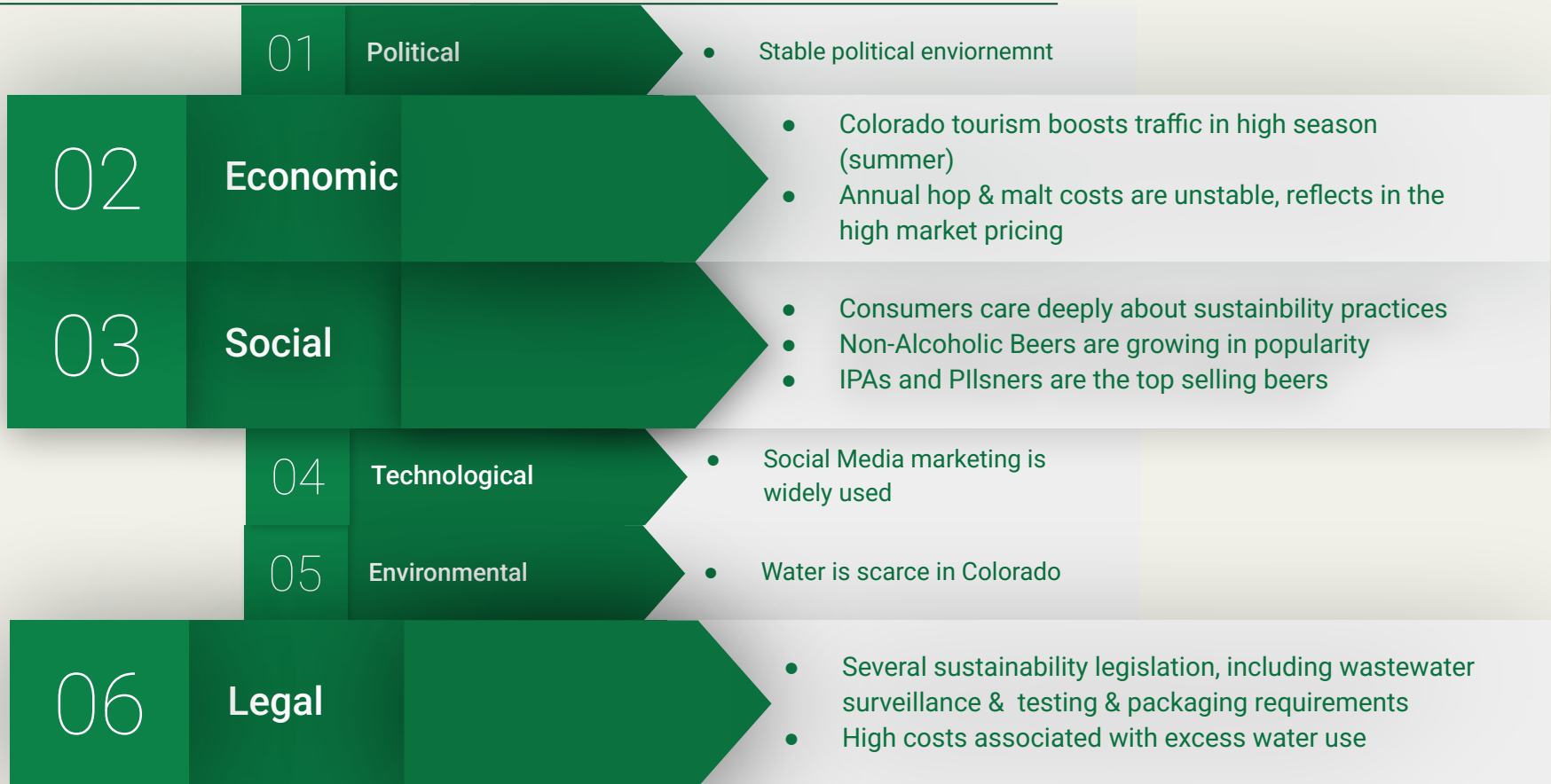
SWOT & VRIO Analysis

Cycle 2

**Cycle
Comparison**

Results

Marketing Cycle 1 PESTEL Analysis



Application of Analysis

Focused Menu

Flagship IPA & Pilsner offered for retail & wholesale distribution

Flagship Pilsner, offered in a non-alcoholic variety

High Beer Prices

Capitalizing on the established high priced market

Diverse Advertising

Billboards, local trade shows, local mall advertising, etc.

Advertising focused on capturing as many eyes as possible



Marketing Cycle 2

■ SWOT Analysis

- **Strength:** Location
- **Opportunity:** Local Branding
- **Weakness:** Awareness
- **Threat:** Winter

■ VRIO Analysis

Community Branding as a Valuable, Rare, Inimitable, and Obtainable competitive advantage.

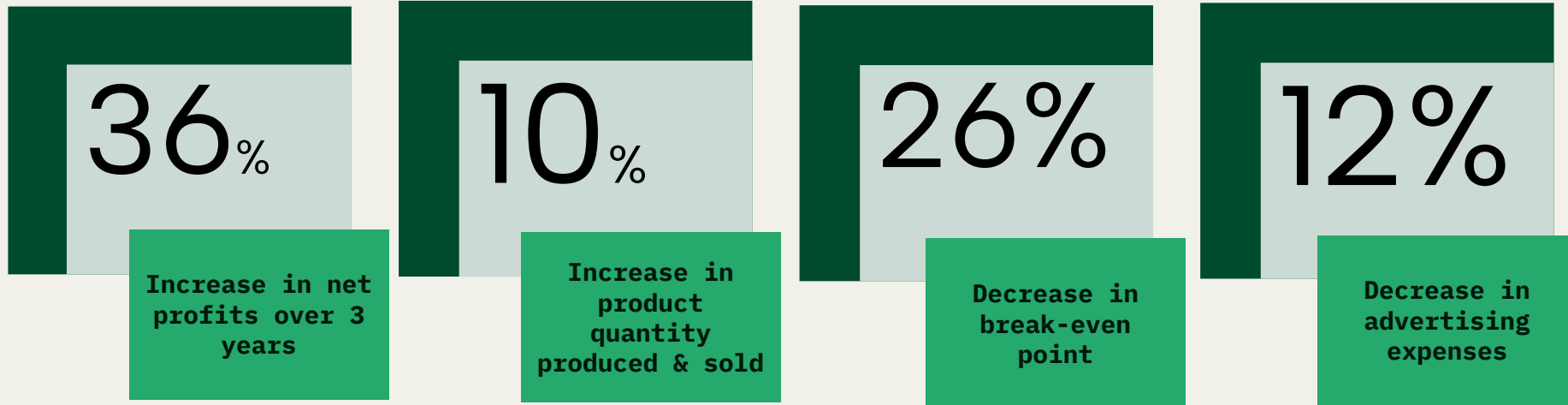
■ Analysis Application



- Advertising Cost decreased by \$48k
- High-priced Seasonal IPA added
- Adjusted for seasonality
- Established 3-year strategic product marketing plan



Marketing Analysis Results



The Financial Management Methodology

What If and Risk Analysis

Initial Cycle

Optimised Cycle

Results

What-if Analysis

■ Costs

- Fixed costs of \$281,600 per year
- Variable cost per year 0.85

■ Production

- Selling at \$6 per pint
- Contribution margin is \$5.15

■ Results

- 54,680 pints per year at \$6
- 67,800 at \$5
- 6,800 at \$7
- Currently under capacity indicating feasibility

Risk Analysis

- The 16th Street Mall is crowded and is mainly tourists making competition intense

- Small drops in demand can push break even point a focus on bring local artists or participating in events

Market risk

- - Has a total of 150+ breweries in the area

Liquidity risk

- - Added a \$25,000 working capital to cover 1 month of operating expenses

Administrative cost risks

- - Denver costs are high added a 3-5% buffer to avoid unexpected costs

Finance structure risk

- - No debt in the beginning will rely mostly on incoming cash

Results

Break even point

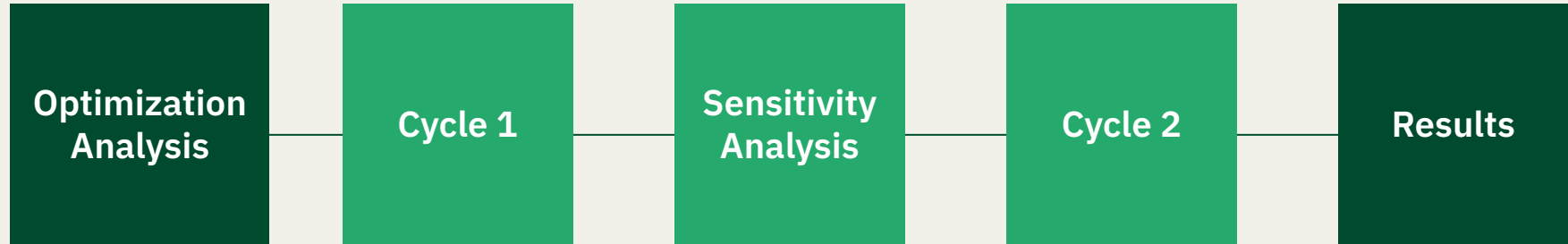
- 5.56 months
- Adding a \$25,000 capital
 - 5.94 months

Net profit ratio

- 0.75
- Adding a \$25,000 capital
 - 0.55-0.56

Parameter	Cycle-13: Finance	Cycle-14: Finance
Revenue		
Total Revenue	\$ 6,121,260	\$ 6,121,260
Revenue, FY1	\$ 1,998,260	\$ 1,998,260
Total Revenue, FY2	\$ 2,032,360	\$ 2,032,360
Total Revenue, FY3	\$ 2,090,640	\$ 2,090,640
Gross Profit		
Total Gross Profit	\$ 4,613,152.1	\$ 4,555,359.62
Gross Profit, FY1	\$ 1,507,663.6	\$ 1,487,483.44
Gross Profit, FY2	\$ 1,532,870	\$ 1,513,649.84
Gross Profit, FY3	\$ 1,572,618.5	\$ 1,554,226.34
Net Profit		
Net Profit	\$ 4,611,306.84	\$ 3,398,298.28
Net Profit, FY1	\$ 1,507,060.53	\$ 1,109,662.65
Net Profit, FY2	\$ 1,532,256.85	\$ 1,129,182.78
Net Profit, FY3	\$ 1,571,989.45	\$ 1,159,452.85

The Operations Methodology



■ Optimization Analysis

- Objective Function
- Decision Variables
- Constraints
- Candidates

■ Analysis Application

■ Operations Cycle 1

- Cycle 28 is the best because its 3 year net profit growth is greater than both other candidates

■ Sensitivity Analysis

Variables:

- 1) WS IPA Price
- 2) WS Pilsner Price
- 3) Retail IPA Price
- 4) Material Costs
- 5) Other Cost
- 6) Loan Amount
- 7) Tank Purchase Cost

■ Analysis Application ■ Operations Cycle 2

- Real cost increases but inconsequential to financial outcome
- Pricing is paramount

Results

Parameter	Cycle-24: Operation	Cycle-28: Operation	Cycle-29: Operation
Revenue			
Total Revenue	\$ 6,143,580	\$ 6,136,140	\$ 6,116,300
Total Revenue, FY1	\$ 2,003,220	\$ 1,998,260	\$ 1,993,300
Total Revenue, FY2	\$ 2,044,760	\$ 2,037,320	\$ 2,032,360
Total Revenue, FY3	\$ 2,095,600	\$ 2,100,560	\$ 2,090,640
Gross Profit			
Total Gross Profit	\$ 4,574,455.62	\$ 4,415,529.49	\$ 4,402,534.29
Gross Profit, FY1	\$ 1,491,637.44	\$ 1,403,540.73	\$ 1,400,477.93
Gross Profit, FY2	\$ 1,524,437.84	\$ 1,483,108.33	\$ 1,480,119.93
Gross Profit, FY3	\$ 1,558,380.34	\$ 1,528,880.43	\$ 1,521,936.43
Net Profit			
Net Profit	\$ 3,412,543.89	\$ 3,293,985	\$ 3,284,290.58
Net Profit, FY1	\$ 1,112,761.53	\$ 1,047,041.38	\$ 1,044,756.54
Net Profit, FY2	\$ 1,137,230.63	\$ 1,106,398.81	\$ 1,104,169.47
Net Profit, FY3	\$ 1,162,551.73	\$ 1,140,544.8	\$ 1,135,364.58

The Innovation & Technology Methodology

Porter's Value Chain Analysis

Cycle 1

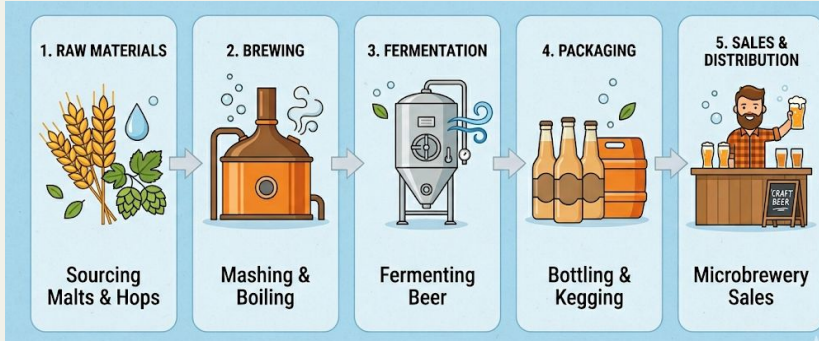
Risk & Opportunity Analysis

Cycle 2

**Cycle
Comparison**

Results

Value Chain Analysis



- **Backwards Vertical Integration**
- Decrease expenses while increasing quality
- Increase profit margin

Analysis Application

Innovation Cycle 1

↓ **Material Costs:** Decreased by \$0.02

↓ **Other Costs** (waste): Decreased by \$0.04

↑ **Labor Costs:** Increased by \$0.05



AXEON AT-1000 Reverse Osmosis

System 1000 GPD

Risk & Opportunity Analysis

High Risk

Increase in Waste
water, & Wastewater
with

High Opportunity

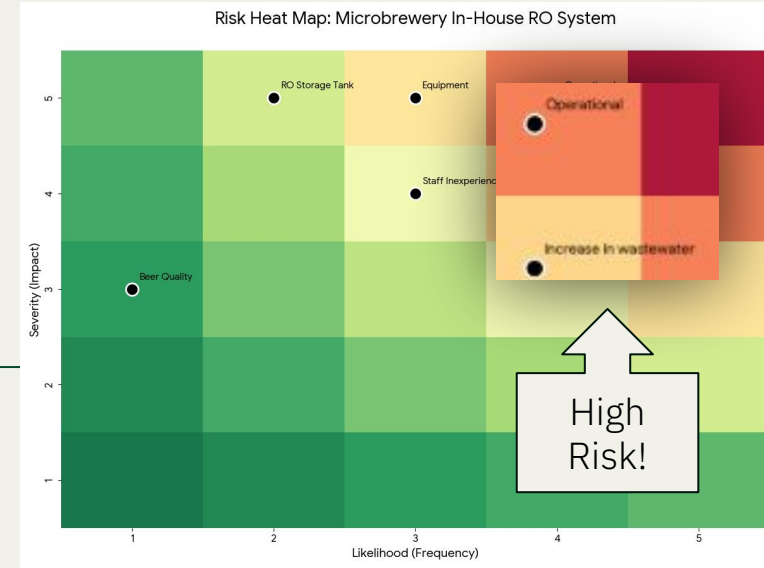
20% credit on Tap fees

Analysis Application

Innovation Cycle 2

↓ **Material Costs:** Decreased by \$0.01 per pint

↓ **Other Costs** (waste): Decreased by \$0.03 per pint



Results

↑ 0.75% increase in net profits vs. standard RO system

↑ 0.01 net profit ration increase

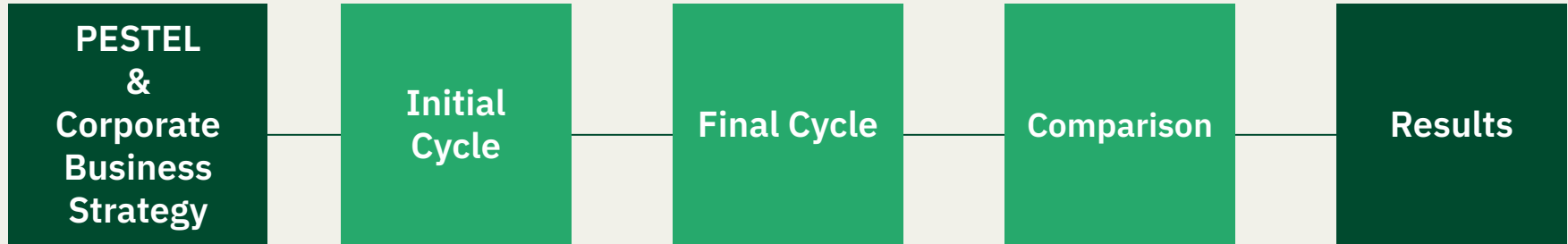
↓ 0.05 month increase to the break-even point

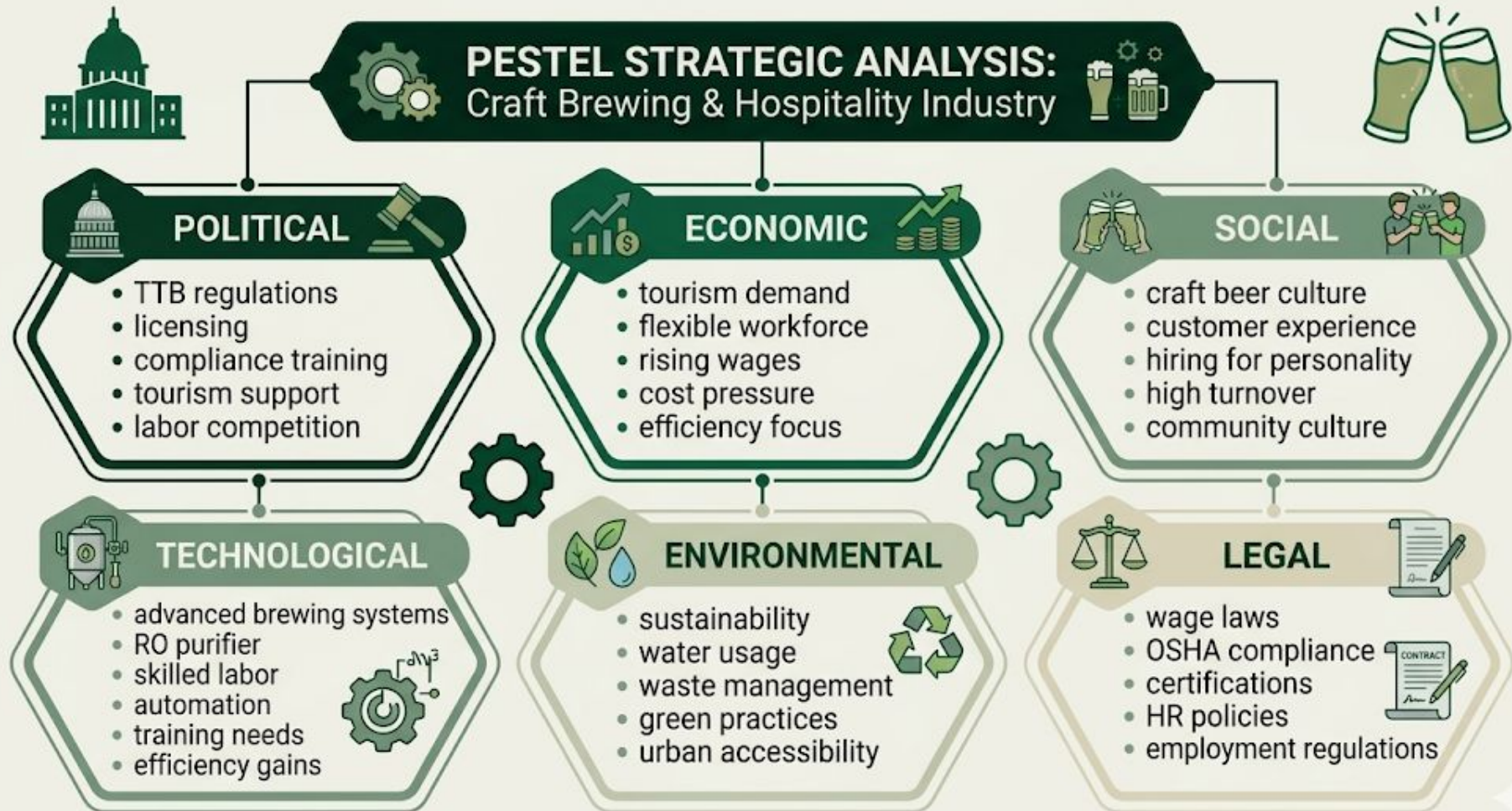
↑ 0.24% net profit increase vs no RO system

↑ Increased Product quality control

↑ Increase in marketing opportunities & branding

Organization & HR Management Methodology





Corporate Strategy Analysis and results

Organization and HR structure

- We will be using a lean approach with no sole HR department
- Brewmaster will not be necessary, will be relying on outside consultants
- The owner will oversee production, staff training programs, and operations
- Office assistant will Administration support, onboarding hiring, and payroll

Results

- Adjusted a salary growth from 12% to 8% to reflect improved cost control
 - Shift towards performance-based incentives
- Optimized break-even point went from 6.74-6.68 months
 - The revenue to reach break-even point decrease almost \$10,000

Investment Recommendation

- Investing in Summit State Microbrewery is a sound business decision—driving profits and exceeding goals.

Financial Snapshot

ROI	194%
Net Profit Margin	72%
Gross Profit Margin	54%
Break-Even	6.68 months

\$3.74M

Upside Case

\$3.29M

Median 3-Year Profit

\$2.86M

Downside Case

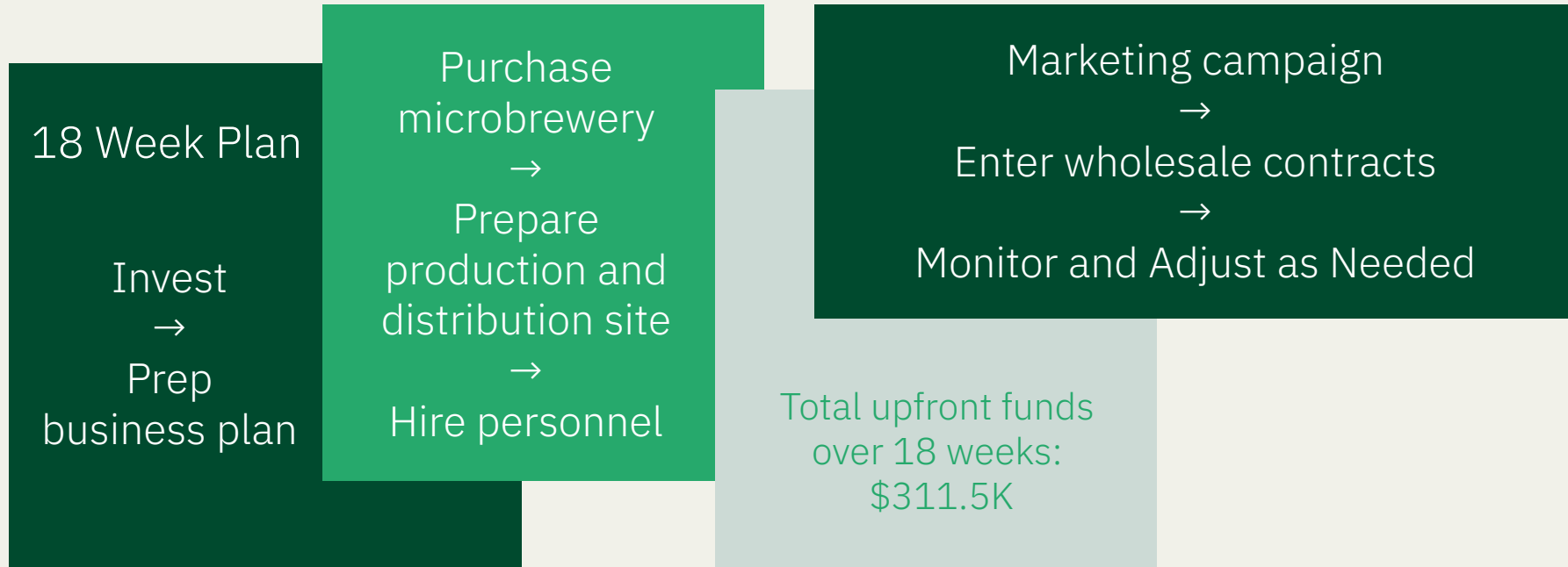
Differentiation Business Strategy

- Capitalize on the high foot traffic & high price points
- Leverage sustainability as a marketing tool
- Cash in on Colorado citizens, & tourism support of local brands



Sustainably Sourced. Locally Poured.

Implementation Strategy



Thank You!

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Q&A

